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SaaS Sellability Checklist

The $5M to $20M ARR edition. You are here

Read your SaaS the way a buyer reads it. Check the foundations buyers test at your size, score where you stand, and see what to strengthen before the next stage.

Buyers do not pay for what you built. They pay for what transfers. Let's look at your company through their eyes.

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Buyer Lens

At $5M to $20M ARR, buyers value your company on an EBITDA multiple or revenue multiple with Rule of 40. Here is what they look at first.

2.9x	16.9x	56
Median revenue multiple, BVR exit data	Median EBITDA multiple, BVR exit data	Items buyers test at your stage

Who Buys At This Size

PE platforms

strategic acquirers

growth equity

Typical Deal Structure

Cash at close with 10% to 30% rollover for PE; escrow of 5% to 10%

Multiples In Full

Revenue: $5M to $20M band: 1.52x / 2.9x / 6.86x; top quartile above 9x.
EBITDA: $5M to $20M band: 8.7x / 16.9x / 28.3x.

25th percentile / median / 75th percentile. Source: BVR exit transaction data as cited in the LIVMO SaaS Exit Valuation Guide.

Top Buyer Concerns At This Size

Leadership gaps

Forecast accuracy

SOC 2

Customer success depth

How The Multiple Moves

Growth, retention and transferability set where you land in the range. The 25th percentile and the 75th percentile are the same business with different answers to the items in this checklist.

The next page shows the road from your stage to a strategic exit.

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Exit Roadmap

Your stage is Stage 1 of this roadmap. Each later stage adds buyers, raises the multiple, and raises the bar on the same items.

1

$5M to $20M ARR YOU ARE HERE

EBITDA multiple or revenue multiple with Rule of 40. PE platforms, strategic acquirers, growth equity.

2

$20M+ ARR

EBITDA multiple or revenue multiple with Rule of 40. Institutional PE, public strategics, large PE-backed platforms.

Start with your own stage. Score it, then read what the next stage asks for.

Stage 1: Your Checklist You are here

Tick every box that is true today. Add the points at the end. Items worth 2 points are the ones buyers weight most.

Financial quality

9 items

- [ ] **Year-end financials prepared by a CPA, at the review level your size requires** — 1 pt

  Benchmark: CPA-reviewed; audit recommended

  Why buyers care. Third-party financials cut diligence time and remove the first reason a buyer discounts your numbers.
  Strengthen. Engage a SaaS-experienced CPA; step up to review or audit as you grow.

- [ ] **ARR, churn, and customer counts in your billing or CRM system reconcile to the P&L** — 2 pts

  Benchmark: Within 2%

  Why buyers care. Buyers compare your metrics pack to your financials. A gap in either direction signals weak controls.
  Strengthen. Reconcile billing system ARR to recognized revenue every quarter and document the differences.

- [ ] **All tax filings are current and every dollar of revenue runs through the books** — 1 pt

  Benchmark: All filings current; no off-book revenue

  Why buyers care. Buyers inherit tax exposure in a stock deal and discount it in an asset deal.
  Strengthen. Bring payroll, sales tax, and income tax filings current; close any off-book channel.

- [ ] **No cash-flow crisis in the past 24 months and at least 3 months of operating cash on hand** — 1 pt

  Benchmark: 6 months of cash

  Why buyers care. Buyers read cash history as a test of management. A crisis in the trailing period raises the risk premium.
  Strengthen. Hold a cash reserve and track runway monthly.

- [ ] **A live financial dashboard tracks ARR, churn, cash, and margin by month** — 1 pt

  Benchmark: Monthly dashboard with 24 months of history

  Why buyers care. A dashboard that updates without you proves the business reports on itself.
  Strengthen. Connect billing and accounting to one dashboard and review it monthly with your team.

Financial quality, continued

- [ ] **A 12-month budget exists and last year's actuals landed within 10% of plan** — 1 pt
  Benchmark: Within 10% of plan
  Why buyers care. Buyers pay for a forecast they can trust. A track record of hitting plan supports forward multiples.
  Strengthen. Build an annual budget, compare monthly, and document variances.

- [ ] **A Quality of Earnings report or QoE-style package is ready before you go to market** — 1 pt
  Benchmark: Sell-side QoE completed within the last 12 months
  Why buyers care. Institutional buyers commission a QoE. A sell-side QoE finds problems before they do and shortens diligence.
  Strengthen. Commission a sell-side QoE 6 to 12 months before a sale.

- [ ] **Consistent historical financials cover the required number of years** — 1 pt
  Benchmark: 3 years
  Why buyers care. Buyers want to see growth across multiple years, in one format, with no gaps.
  Strengthen. Restate earlier years into the current chart of accounts if needed.

- [ ] **Financial foundations are in place: accrual books, monthly close within 15 days, SaaS chart of accounts, monthly revenue recognition, deferred revenue tracked** — 1 pt
  Benchmark: All 5 foundations in place
  Why buyers care. At this size buyers assume these foundations exist. A missing one is a red flag, not a to-do.
  Strengthen. Audit the basics with your CPA before you start a process.

Revenue quality

8 items

- [ ] **Recurring revenue is the required share of total revenue** — 1 pt
  Benchmark: 90%+
  Why buyers care. Recurring revenue is what buyers pay the SaaS multiple on. Services and one-time fees get a lower multiple or none.
  Strengthen. Productize services into subscriptions and separate one-time revenue in your reporting.

Revenue quality, continued

- [ ] **ARR growth, as a 2 to 3 year CAGR, meets the benchmark, and every year in that period grew** — 2 pts
  Benchmark: 20%+
  Why buyers care. Growth is the largest single driver of the multiple. Buyers read a multi-year CAGR with steady years as proof of product-market fit; one strong year does not count.
  Strengthen. Track ARR growth monthly by cohort and segment; fix retention before you add acquisition spend.

- [ ] **Gross revenue retention (annual) meets the benchmark** — 2 pts
  Benchmark: 90%+
  Why buyers care. GRR shows how much revenue stays without any upsell. Buyers treat it as the core risk number.
  Strengthen. Track churn reasons, strengthen onboarding, and intervene on at-risk accounts.

- [ ] **Net revenue retention (annual) meets the benchmark** — 2 pts
  Benchmark: 105%+
  Why buyers care. NRR above 100% means your customer base grows without new sales. It is the strongest proof of product value.
  Strengthen. Add usage tiers or seat expansion and give customer success an expansion target.

- [ ] **Monthly logo churn is at or below the benchmark** — 1 pt
  Benchmark: Under 2%
  Why buyers care. Logo churn sets the customer lifetime, which sets LTV and the acquisition budget a buyer can justify.
  Strengthen. Segment churn by plan and acquisition channel, then cut the channels that bring churn-prone customers.

- [ ] **Annual or multi-year contracts cover the required share of ARR** — 1 pt
  Benchmark: 60%+ of ARR
  Why buyers care. Contract term is the contractual floor under your revenue. Buyers model month-to-month revenue as at risk.
  Strengthen. Offer a discount for annual prepay and renewals with auto-renew terms.

- [ ] **Cohort retention is tracked by month of acquisition** — 1 pt
  Benchmark: 24 months of cohort data
  Why buyers care. Cohorts show whether retention improves or decays as the product matures. A blended churn number hides this.
  Strengthen. Build a monthly cohort table from billing data and keep 24 months of history.

Revenue quality, continued

- [ ] **Expansion ARR provides the required share of ARR growth** — 1 pt
  Benchmark: 30%+ of growth
  Why buyers care. Growth from existing customers is cheaper and more predictable than growth from new logos.
  Strengthen. Give account management an expansion quota and track upsell by cohort.

Unit economics

6 items

- [ ] **Gross margin meets the benchmark with hosting, support, and onboarding in COGS** — 1 pt
  Benchmark: 75%+
  Why buyers care. Gross margin sets how much of each new dollar becomes profit. Buyers test it against the 70 to 80% SaaS norm.
  Strengthen. Move support and onboarding into COGS, then cut hosting cost and automate onboarding.

- [ ] **LTV to CAC ratio is tracked and meets the benchmark** — 2 pts
  Benchmark: 3x+
  Why buyers care. LTV:CAC tells a buyer whether growth spend pays back. It is the efficiency number behind the growth number.
  Strengthen. Compute LTV on gross profit, include commissions and onboarding in CAC, and review by channel.

- [ ] **CAC payback period is at or under the benchmark** — 1 pt
  Benchmark: Under 12 months
  Why buyers care. Payback sets how much cash growth consumes. Buyers with a growth plan need payback they can fund.
  Strengthen. Raise prices, improve conversion, and shorten time to first value.

- [ ] **Profitability meets the benchmark for your size and valuation method** — 2 pts
  Benchmark: Rule of 40 met
  Why buyers care. Below $2M buyers pay on SDE. Above $5M they pay on EBITDA or on growth under the Rule of 40.
  Strengthen. Audit spend by department and set a margin target that fits your growth rate.

Unit economics, continued

- [ ] **ARR per employee meets the benchmark** — 1 pt
  Benchmark: $300K+
  Why buyers care. ARR per employee is the fastest read on operating leverage. Low numbers signal a services-heavy model.
  Strengthen. Automate support and onboarding and hold headcount growth below ARR growth.

- [ ] **Sales and marketing spend is tracked by channel with cost per customer** — 1 pt
  Benchmark: CAC by channel for 12+ months
  Why buyers care. Buyers want to know which channels work so they can add capital to them.
  Strengthen. Tag every new customer with its source and compute CAC per channel quarterly.

Customers

5 items

- [ ] **Customer concentration is below the benchmark** — 2 pts
  Benchmark: Top 5 under 30%
  Why buyers care. One lost customer should not change the price. Buyers discount concentrated revenue or ask for an earn-out on it.
  Strengthen. Diversify go-to-market and lock large accounts into multi-year contracts.

- [ ] **Largest customers are on written contracts that allow assignment on a change of control** — 1 pt
  Benchmark: All customers over 1% of ARR
  Why buyers care. A buyer needs the contracts to transfer. Consent clauses give customers a chance to renegotiate at close.
  Strengthen. Standardize terms and amend the largest contracts before you go to market.

- [ ] **Customer satisfaction is measured at least once a year (NPS or survey)** — 1 pt
  Benchmark: Quarterly survey; NPS 40+
  Why buyers care. Satisfaction data predicts retention before churn shows up in the numbers.
  Strengthen. Run an annual NPS survey and track the score by segment.

- [ ] **Support runs on a documented process with a named owner who is not the founder** — 1 pt
  Benchmark: Support team; SLA published
  Why buyers care. Support is where founder dependence shows up first. Buyers test whether customers rely on you personally.
  Strengthen. Appoint a support owner, document the process, and track response time.

Customers, continued

- [ ] **A customer success function owns renewals and expansion** — 1 pt
  Benchmark: CS lead with renewal and expansion targets
  Why buyers care. At this size buyers expect a team that drives NRR, not an inbox.
  Strengthen. Hire or assign a CS lead with a renewal and expansion quota.

Owner and team

8 items

- [ ] **The founder can leave for the benchmark period with no drop in revenue or service** — 2 pts
  Benchmark: 3 months
  Why buyers care. If the business cannot run without you, a buyer is buying a job. Transferability sets the multiple.
  Strengthen. Take a planned absence, log what breaks, and fix each item.

- [ ] **Sales closes without the founder at the required level** — 1 pt
  Benchmark: Sales leader and team; founder in under 10% of deals
  Why buyers care. If every deal needs the founder, revenue growth is tied to the founder's hours.
  Strengthen. Hire a seller, write the sales process, and move the founder out of first calls.

- [ ] **A second-in-command or general manager runs day-to-day operations** — 1 pt
  Benchmark: GM or COO in place 12+ months
  Why buyers care. Buyers need a leader who stays. The founder usually leaves within 12 months of a sale.
  Strengthen. Promote or hire a GM and hand over operations 12 months before a sale.

- [ ] **A leadership team covers product, engineering, sales, and finance** — 1 pt
  Benchmark: 4 functional leaders with 12+ months tenure
  Why buyers care. At this size buyers evaluate the team as much as the numbers.
  Strengthen. Fill each function with a leader who has SaaS experience.

- [ ] **Key employees have employment agreements and a retention or equity plan** — 1 pt
  Benchmark: Agreements, retention plan, and option pool
  Why buyers care. Buyers want the people who built the product to stay through the transition.
  Strengthen. Put key people on agreements with a retention bonus that vests after close.

- [ ] **An org chart shows every role and reporting line** — 1 pt
  Benchmark: Org chart current within 90 days
  Why buyers care. The org chart is the buyer's map of who does what and where the founder sits.
  Strengthen. Draw the chart, include contractors, and update it quarterly.

Owner and team, continued

- [ ] **Hiring and onboarding follow a documented process** — 1 pt
  Benchmark: Hiring and onboarding process documented
  Why buyers care. A buyer who plans to grow needs to hire without you.
  Strengthen. Document the hiring steps and the 30-day onboarding plan for each role type.

- [ ] **Operational foundations are in place: role descriptions, SOPs, 2+ people on production, productized onboarding** — 1 pt
  Benchmark: All 4 foundations in place
  Why buyers care. At this size buyers assume these foundations exist. A missing one is a red flag, not a to-do.
  Strengthen. Audit the basics with your GM before you start a process.

Product and technology

8 items

- [ ] **Architecture and operations are documented well enough for a new engineer to deploy within a week** — 1 pt
  Benchmark: Architecture doc and runbooks current
  Why buyers care. Documentation is how the buyer's team takes over the codebase.
  Strengthen. Write the architecture overview, the runbooks, and the environment setup guide.

- [ ] **Third-party dependencies and open-source licenses are inventoried** — 1 pt
  Benchmark: License inventory current; no unresolved copyleft
  Why buyers care. Buyers scan for copyleft licenses and unlicensed components. A finding can block a stock deal.
  Strengthen. Run a license scan and resolve any copyleft or unlicensed component.

- [ ] **Security meets the benchmark for your size** — 1 pt
  Benchmark: SOC 2 Type II
  Why buyers care. Security findings in diligence become price reductions or indemnities.
  Strengthen. Start with MFA, backups, and access control; add a penetration test and SOC 2 as you grow.

- [ ] **Uptime is tracked and meets the benchmark** — 1 pt
  Benchmark: 99.9%+
  Why buyers care. Reliability is a retention driver and a contractual obligation in enterprise deals.
  Strengthen. Add monitoring and publish uptime to customers.

Product and technology, continued

- [ ] **A written 12-month product roadmap exists** — 1 pt
  Benchmark: Roadmap updated within 6 months
  Why buyers care. The roadmap is the buyer's view of where growth comes from after close.
  Strengthen. Write a 12-month roadmap tied to retention and expansion goals.

- [ ] **Differentiation is evidenced with win/loss data or documented reasons customers chose you** — 1 pt
  Benchmark: Win rate tracked; 3+ case studies
  Why buyers care. Buyers pay a premium for a product that is hard to replace. Claims need evidence.
  Strengthen. Track win/loss reasons in the CRM and collect 5 customer quotes on why they switched.

- [ ] **Integrations or an API create switching costs** — 1 pt
  Benchmark: 3+ live integrations or a public API
  Why buyers care. Switching costs protect retention and pricing. Buyers model them as a retention floor.
  Strengthen. Build the 3 integrations your customers ask for most and publish an API.

- [ ] **Technical foundations are in place: cloud-hosted, CI/CD, automated tests, 2+ engineers on production** — 1 pt
  Benchmark: All 4 foundations in place
  Why buyers care. At this size buyers assume these foundations exist. A missing one is a red flag, not a to-do.
  Strengthen. Run an internal technical audit before you start a process.

Market

5 items

- [ ] **The ideal customer profile is written down with segment, size, and average contract value** — 1 pt
  Benchmark: ICP documented; 70%+ of new customers match
  Why buyers care. A clear ICP lets a buyer judge the market and the growth plan. It also explains your churn.
  Strengthen. Write a 1-page ICP and check that 70%+ of new customers match it.

Market, continued

- [ ] **A bottom-up TAM and SAM exist with sources** — 1 pt
  Benchmark: TAM $200M+
  Why buyers care. Buyers pay for headroom. A small or vague TAM caps the multiple even with strong metrics.
  Strengthen. Build TAM from ICP count times ACV and cite the sources.

- [ ] **Market growth is cited from a third-party source** — 1 pt
  Benchmark: 10%+ market growth with a cited source
  Why buyers care. A growing market gives the buyer tailwind for the growth plan.
  Strengthen. Cite a Gartner, Forrester, or PitchBook growth rate for your segment.

- [ ] **Named competitors and your position against them are documented, with win rate** — 1 pt
  Benchmark: Competitor map and 12 months of win rate
  Why buyers care. Buyers want to know who you beat and why. Win rate is the proof.
  Strengthen. Keep a competitor map and track win rate against each named competitor.

- [ ] **Recent acquisitions in your category are tracked** — 1 pt
  Benchmark: 10 comparable deals tracked
  Why buyers care. Buyer activity in your category sets the comparable multiples.
  Strengthen. Keep a list of the last 10 deals in your category with price and multiple where public.

Legal and IP

7 items

- [ ] **Every employee and contractor who wrote code has signed an IP assignment** — 1 pt
  Benchmark: 100% of contributors signed
  Why buyers care. Without IP assignment the company does not own its own product.
  Strengthen. Audit contributors and collect signed assignments from each one.

- [ ] **Trademarks are registered and all domains are owned by the company** — 1 pt
  Benchmark: Mark registered; domains in company account
  Why buyers care. Brand assets must transfer with the company.
  Strengthen. Register the mark and move domains into a company-owned account.

- [ ] **No open litigation, claims, or regulatory issues** — 1 pt
  Benchmark: No open matters
  Why buyers care. Buyers price open claims at the worst case and ask for an indemnity.
  Strengthen. Settle or document every open matter before you go to market.

Legal and IP, continued

- [ ] **Vendor and partner contracts are assignable on a change of control** — 1 pt

  Benchmark: Top 10 vendor contracts assignable

  Why buyers care. Critical vendors who can terminate at close give them leverage over your deal.
  Strengthen. Review the top 10 vendor contracts and amend the change-of-control clauses.

- [ ] **Compliance obligations for your vertical are met (GDPR, HIPAA, PCI, or others that apply)** — 1 pt

  Benchmark: Compliance map current; no open gaps

  Why buyers care. Regulatory gaps are indemnity items. Enterprise buyers verify them before the LOI.
  Strengthen. Map the regulations that apply and close each gap with counsel.

- [ ] **A data inventory shows where customer data lives and who can access it** — 1 pt

  Benchmark: Data inventory current within 12 months

  Why buyers care. Data diligence asks this question first. The answer sets the privacy risk.
  Strengthen. Document every system that holds customer data and the access list for each.

- [ ] **Legal foundations are in place: clean cap table, current customer terms, no open claims** — 1 pt

  Benchmark: All 3 foundations in place

  Why buyers care. At this size buyers assume these foundations exist. A missing one is a red flag, not a to-do.
  Strengthen. Have counsel run a pre-sale legal audit.

Your Score

Add the points for every box you ticked. The maximum at your stage is 64 points across 56 items.

51+

Sellable at this stage. Buyers at your size will engage. Work on the next-stage items to move up the range.

32 to 50

Close, with work. Fix the 2-point gaps first; they move the multiple most.

Under 32

Not yet sellable at this stage. Start with Financial quality and Owner and team. Buyers stop reading when those fail.

If You Want To Sell At This Stage

Buyers run a full process with QoE and legal diligence. The median EBITDA multiple is 16.9x; revenue multiples run 2.9x at the median and above 9x for top-quartile growth and retention. An $8M ARR company that meets the Rule of 40 with 95% GRR can expect $25M to $50M.

Check Your Numbers

Score the metrics behind the 2-point items with the LIVMO SaaS Valuation Calculator at saasvaluation.livmo.com. It rates ARR growth, GRR, NRR, LTV:CAC and margin against the same benchmarks.

Next: what changes when you reach $20M+ ARR.

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Next Stage

To be valued as a $20M+ ARR company, 14 items change. 0 are new; the rest raise the bar you already meet.

F3	**Year-end financials prepared by a CPA, at the review level your size requires**	Next: Audited Now: CPA-reviewed; audit recommended
F5	**ARR, churn, and customer counts in your billing or CRM system reconcile to the P&L**	Next: Within 1% Now: Within 2%
F12	**Consistent historical financials cover the required number of years**	Next: 5 years Now: 3 years
R2	**ARR growth, as a 2 to 3 year CAGR, meets the benchmark, and every year in that period grew**	Next: 15%+ Now: 20%+
R4	**Net revenue retention (annual) meets the benchmark**	Next: 110%+ Now: 105%+
R5	**Monthly logo churn is at or below the benchmark**	Next: Under 1.5% Now: Under 2%
R7	**Annual or multi-year contracts cover the required share of ARR**	Next: 70%+ of ARR Now: 60%+ of ARR
R9	**Expansion ARR provides the required share of ARR growth**	Next: 40%+ of growth Now: 30%+ of growth

Next Stage, Continued

U1	**Gross margin meets the benchmark with hosting, support, and onboarding in COGS**	Next: 80%+ Now: 75%+
U2	**LTV to CAC ratio is tracked and meets the benchmark**	Next: 4x+ Now: 3x+
U5	**ARR per employee meets the benchmark**	Next: $400K+ Now: $300K+
C1	**Customer concentration is below the benchmark**	Next: Top 10 under 30% Now: Top 5 under 30%
P6	**Uptime is tracked and meets the benchmark**	Next: 99.95%+ Now: 99.9%+
M2	**A bottom-up TAM and SAM exist with sources**	Next: TAM $500M+ Now: TAM $200M+

STAGE 2 OF 2

$20M+ ARR

EBITDA multiple or revenue multiple with Rule of 40. Institutional PE, public strategics, large PE-backed platforms.

Multiples

Revenue: No BVR band above $20M; use the $5M to $20M band as a floor and public comparables as a ceiling.
EBITDA: $5M to $20M band as a floor: 8.7x / 16.9x / 28.3x.

Deal Structure

Cash at close; management rollover; representations and warranties insurance

Top Buyer Concerns

- Audit quality
- Leadership depth
- Comparables
- Integration risk

What Changes At This Stage

- Year-end financials prepared by a CPA, at the review level your size requires
- ARR, churn, and customer counts in your billing or CRM system reconcile to the P&L
- Consistent historical financials cover the required number of years
- ARR growth, as a 2 to 3 year CAGR, meets the benchmark, and every year in that period grew
- Net revenue retention (annual) meets the benchmark
- Monthly logo churn is at or below the benchmark
- and 8 more

If You Want To Sell At This Stage

Buyers at this size run a banker-led auction. Price depends on growth, NRR and the comparables in your category more than on any checklist item. The items here are the ones that keep the price intact through diligence.

Next Steps

You now know what buyers test at your size and what to strengthen next. The fastest way to turn this into a number is a conversation.

Book a 30-minute exit assessment with LIVMO. We walk through your score, your metrics, and the 3 items that move your price most. No pitch; a buyer's read of your company.

Book a 30-Minute Exit Assessment

calendly.com/khaledazar/exit-builder

LIVMO is a tech-focused M&A advisory in San Diego. Featured in Inc. and Forbes. Axial award recipient. Member of IBBA and M&A Source. We live by radical candor and have been from the weeds to the forest.

Score your metrics first at saasvaluation.livmo.com.

You deserve an exit on YOUR terms. Let's find out what that number is.